

House File 1038

H-1349

1 Amend House File 1038 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 OPIOID SETTLEMENT FUND

6 Section 1. Section 12.51, Code 2025, is amended to read as
7 follows:

8 **12.51 Opioid settlement fund.**

9 1. As used in this section unless the context otherwise
10 requires:

11 a. "Administrative services organization" means the same as
12 defined in section 225A.1, as enacted in 2024 Iowa Acts, ch.
13 1161, §1.

14 b. "Behavioral health district" means the same as defined in
15 section 225A.1, as enacted in 2024 Iowa Acts, ch. 1161, §1.

16 c. "Department" means the department of health and human
17 services.

18 d. "District behavioral health advisory council" means the
19 same as defined in section 225A.1, as enacted in 2024 Iowa
20 Acts, ch. 1161, §1.

21 ~~1.~~ 2. a. An opioid settlement fund is created in the
22 office of the treasurer of state. The fund shall be separate
23 from the general fund of the state and the balance in the fund
24 shall not be considered part of the balance of the general fund
25 of the state.

26 b. (1) The state portion of any moneys paid to the state as
27 a result of a national settlement of litigation with entities
28 that manufactured, marketed, sold, distributed, dispensed,
29 or promoted opioids, made in connection with claims arising
30 from the manufacturing, marketing, selling, distributing,
31 dispensing, or promoting of opioids, shall be deposited in the
32 fund.

33 (2) (a) For each fiscal year for the period beginning July
34 1, 2025, and ending June 30, 2030, of the total amount of the
35 state portion of the moneys paid to the state as described in

1 paragraph "b" and deposited in the fund, plus any interest
2 and earnings on moneys in the fund, seventy-five percent is
3 appropriated to the department and twenty-five percent is
4 appropriated to the office of the attorney general for purposes
5 of abating the opioid crisis in this state.

6 (b) Notwithstanding section 8.33, moneys appropriated
7 under subparagraph division (a) that remain unencumbered and
8 unobligated at the close of each fiscal year shall not revert
9 but shall remain available for expenditure for the purposes
10 designated until June 30, 2030.

11 (c) Notwithstanding section 12C.7, subsection 2, the
12 interest or earnings on moneys appropriated under subparagraph
13 division (a) are appropriated to the entity receiving the
14 appropriation to be used for the purposes designated.

15 (3) The department and the office of the attorney general
16 shall do all of the following:

17 (a) Review each administrative services organization's
18 proposed uses of the appropriated moneys for crisis response,
19 early intervention, and treatment for opioid addiction, and
20 recovery from opioid addiction, for the behavioral health
21 district for which the administrative services organization has
22 been designated.

23 (b) Disburse the moneys appropriated under subparagraph
24 (2), subparagraph division (a), in accordance with the national
25 opioid settlement agreements and this section.

26 (c) Identify indicators and outcomes applicable to each
27 disbursement to be used to determine if the services and
28 activities that are funded achieve the intended outcomes, which
29 may include prevention of opioid-related deaths, reduction of
30 opioid misuse, and increased access to opioid use disorder
31 medications and services.

32 (d) Submit an annual report on or before November 1 to the
33 general assembly and the governor that contains all of the
34 following for the immediately preceding fiscal year:

35 (i) Information related to each disbursement from the

1 fund, and if the intended outcomes of each disbursement were
2 achieved.

3 (ii) Input from each district behavioral health advisory
4 council regarding disbursements from the fund, intended
5 outcomes, and recommendations for future disbursements from the
6 fund.

7 (iii) A list of the current opioid-related initiatives
8 within the behavioral health district that are funded by
9 moneys from the national settlements that are earmarked for
10 or otherwise required to be transferred or distributed to
11 counties, cities, or other local governmental entities.

12 (e) Adopt rules pursuant to chapter 17A to administer this
13 paragraph.

14 (4) A recipient shall receive no more than one disbursement
15 under paragraph "b", subparagraph (3), subparagraph division
16 (b).

17 (5) The department and the office of the attorney general
18 may, but are not required to, ensure that moneys appropriated
19 under subparagraph (2) are distributed equally to the
20 administrative services organizations.

21 (6) The department and the office of the attorney general
22 shall use no more than five percent of the moneys appropriated
23 under subparagraph (2) for administrative costs.

24 c. This subsection does not apply to such moneys paid to
25 the state that are earmarked for or otherwise required to be
26 transferred or distributed to counties, cities, or other local
27 governmental entities.

28 ~~2.~~ 3. a. Moneys in the fund shall not be transferred,
29 used, obligated, appropriated, or otherwise encumbered except
30 as provided in this section.

31 b. Moneys in the fund shall only be used ~~pursuant to~~
32 ~~appropriations from the fund by the general assembly for~~
33 purposes of abating the opioid crisis in this state, which
34 may include but are not limited to the purposes specified in
35 section 135.190A for moneys in the opioid antagonist medication

1 fund.

2 ~~3.~~ c. Notwithstanding [section 8.33](#), moneys in the fund
3 that remain unencumbered or unobligated at the close of a
4 fiscal year shall not revert. Notwithstanding section 12C.7,
5 subsection 2, interest or earnings on moneys in the fund shall
6 be credited to the fund.

7

DIVISION II

8

OPIOID SETTLEMENT FUND — FY 2024-2025

9 Sec. 2. OPIOID SETTLEMENT FUND — DEPARTMENT OF HEALTH AND
10 HUMAN SERVICES.

11 1. There is appropriated from the opioid settlement fund
12 created in section 12.51 to the department of health and human
13 services for the fiscal year beginning July 1, 2024, and ending
14 June 30, 2025, the following amount, or so much thereof is as
15 necessary, for the purposes designated:

16 \$ 29,000,000

17 2. Notwithstanding any provision of law to the contrary, of
18 the moneys appropriated to the department of health and human
19 services under subsection 1, the department shall disburse to
20 the following entities, the following amounts, for the purposes
21 designated:

22 a. To a youth-serving nonprofit organization that has been
23 in existence for more than fifty years that provides crisis
24 stabilization, emergency shelter, and residential addiction
25 treatment, and that is located in a central Iowa county with
26 a population between ninety-eight thousand and ninety-nine
27 thousand based on the 2020 federal decennial census, to support
28 the development of a recovery-focused high school and workforce
29 training center that integrates education, job training, and
30 therapeutic support to empower youth in recovery from substance
31 use disorder to successfully transition into the workforce upon
32 graduation:

33 \$ 3,000,000

34 b. To an opioid treatment program incorporated as a
35 nonprofit organization in 1997, that operates fourteen

1 locations and offers behavioral and medical health care
2 to patients, and that is licensed in the state to provide
3 medication-assisted treatment, mental health therapy,
4 counseling, and primary health care, to expand access to
5 medication-assisted treatment in rural and underserved areas
6 of the state through co-located and mobile recovery units
7 and to collaborate with jail-based screening, assessment,
8 diagnosis, and treatment service providers to extend support
9 to incarcerated individuals and individuals who are no longer
10 incarcerated, and sustain established infrastructure for
11 dispensing medications for opioid use disorder services in
12 rural and underserved areas:

13 \$ 5,000,000

14 c. To the administrative services organization designated
15 pursuant to section 225A.4, as enacted in 2024 Iowa Acts,
16 ch. 1161, §4, to contract with a collaborative mental health
17 services organization that operates in Iowa to provide
18 jail-based screening, assessment, diagnosis, and treatment
19 service providers and system navigation to all county jails, to
20 ensure inmates receive necessary mental health and substance
21 use care, regardless of the mental health and substance use
22 resources available in the county in which the inmate is
23 incarcerated:

24 \$ 1,500,000

25 d. To a nonprofit organization headquartered in a western
26 Iowa county with a population between one hundred thousand and
27 one hundred six thousand based on the 2020 federal decennial
28 census, for a recovery project that involves recovery housing
29 and post-treatment support based on a recovery cafe model, for
30 individuals in addiction recovery including those experiencing
31 homelessness and transitioning from incarceration, and the
32 nonprofit organization provides an appropriate physical
33 location and a dollar-for-dollar match for each dollar
34 disbursed to the nonprofit organization:

35 \$ 2,000,000

1 e. To the administrative services organization designated
 2 pursuant to section 255A.4, as enacted in 2024 Iowa Acts, ch.
 3 1161, §4, to contract with local peer-recovery specialists in
 4 four rural locations in the state to provide post-overdose
 5 response services through emergency departments that connect
 6 individuals and families to post-overdose treatment and
 7 recovery support, and to train peer recovery coaches using the
 8 linkage to outreach referrals and engagement model:
 9 \$ 2,000,000
 10 f. To provide grants to nonprofit organizations for each
 11 nonprofit organization to establish recovery community centers,
 12 including for the purchase or lease of physical space and
 13 programming, in behavioral health districts four, five, and
 14 seven to connect members of the recovery community to support,
 15 education, resources, and advocacy:
 16 \$ 4,500,000
 17 g. To provide grants to nonprofit organizations to
 18 establish recovery cafes in behavioral health districts
 19 five and seven to support members of the recovery community,
 20 focusing on health maintenance and opioid addiction prevention
 21 by providing a safe environment to cultivate meaningful
 22 connections, compassionate understanding, and a culture of
 23 affirmation that enhances well-being and self-worth:
 24 \$ 1,500,000
 25 h. To provide grants to nonprofit organizations in
 26 behavioral health districts one, four, five, and seven
 27 for recovery respite that focuses on women, and women with
 28 children, who are in substance use disorder treatment or
 29 recovery to provide the women appropriate resources to enhance
 30 their recovery efforts and transition to independent living:
 31 \$ 1,500,000
 32 i. To provide a grant to a nonprofit organization
 33 headquartered in a city with a population between twenty-four
 34 thousand five hundred and twenty-five thousand based on the
 35 2020 federal decennial census, that is a member of the Iowa

1 substance use and problem gambling services integrated provider
2 network and that specializes in treatment and prevention
3 services, including outpatient, residential treatment, and
4 detoxification for adolescents and adults who are experiencing
5 mental health and substance use disorders:

6 \$ 3,000,000

7 j. To provide a grant to a nonprofit organization
8 headquartered in a city with a population between one hundred
9 seventy-four thousand and one hundred seventy-five thousand
10 based on the 2020 federal decennial census, that is a community
11 mental health center under chapter 230A, and that maintains
12 or conducts a program licensed under chapter 125 the primary
13 purpose of which is the treatment and rehabilitation of persons
14 with a substance use disorder, including outpatient care,
15 residential care, habilitation homes, crisis stabilization
16 residential services, assertive community treatment,
17 multisystemic therapy, and integrated home health and
18 supportive and affordable housing for adolescents and adults
19 experiencing substance use or mental health disorders:

20 \$ 2,000,000

21 3. Notwithstanding any provision of law to the contrary, of
22 the moneys appropriated to the department of health and human
23 services under subsection 1, \$3,000,000 shall be disbursed as
24 grants to nonprofit organizations that submit a proposal to
25 the department of health and human services for development of
26 recovery housing in behavioral health districts that do not
27 have established recovery housing capacity.

28 4. a. Moneys disbursed under subsections 2 and 3 shall be
29 used by the recipient in compliance with the requirements of
30 the national opioid settlement agreements and section 12.51.

31 b. A recipient shall utilize the indicators and outcomes
32 identified by the department of health and human services
33 and the office of the attorney general under section 12.51,
34 subsection 2, paragraph "b", subparagraph (3), subparagraph
35 division (c), to determine whether the services and activities

1 that are funded by the disbursement achieve the intended
2 outcomes, and shall report the recipient's findings to the
3 department of health and human services and the office of the
4 attorney general.

5 c. Moneys disbursed under subsection 2 shall be fully
6 obligated by the recipient no later than June 30, 2027.

7 d. A recipient shall receive no more than one disbursement
8 under subsections 2 and 3.

9 Sec. 3. EFFECTIVE DATE. This division of this Act, being
10 deemed of immediate importance, takes effect upon enactment.

11 Sec. 4. RETROACTIVE APPLICABILITY. This division of this
12 Act applies retroactively to July 1, 2024.>

13 2. Title page, by striking lines 1 through 3 and inserting
14 <An Act relating to the opioid settlement fund, making
15 appropriations and disbursements, and including effective date
16 and retroactive applicability provisions.>

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